TEACHER GUIDE

Pearson Edexcel International GCSE in Business (4BS1)

# External influences

Section 1
**1.5 Business and the international economy; 1.6 Government objectives; 1.7 External factors**



A revision lesson. Pupils run a car dealership in firms of four and revise external influences on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Rates and car sales

Round 1

Interest rates rise. Many of your buyers pay for their cars with a loan.

**What is the most likely effect on your sales?**

- **A** Sales fall as loans cost more
- **B** Sales rise as savers earn more
- **C** Sales rise as prices fall
- **D** No change: buyers need cars

**ANSWER**

**✓ Sales fall as loans cost more**

**Why:** Higher interest makes loans dearer, so fewer people buy on credit.

## 2 Unemployment rises

Round 1

Unemployment in your area rises sharply.

**Which two effects on your firm are most likely?**

- **A** More buyers want premium models
- **B** Higher wages to keep staff
- **C** Banks lend more freely
- **D** Fewer buyers for new cars
- **E** More buyers want cheaper cars

**ANSWER**

**✓ Fewer buyers for new cars**
**✓ More buyers want cheaper cars**

**Why:** Less income means fewer big purchases, and buyers trade down.

## 3 Rate rise effects

Round 2

The Bank of England raises interest rates.

**Put the effects in order, first to last?**

- **A** Your sales fall
- **B** You order fewer cars
- **C** Fewer people buy on credit
- **D** Car loans cost more each month

**ANSWER**

**1. Car loans cost more each month**
**2. Fewer people buy on credit**
**3. Your sales fall**
**4. You order fewer cars**

**Why:** Dearer loans, fewer buyers, lower sales, so you buy less stock.

# Topic tasks

## 4 Import cost rise

Round 2

The pound falls. Your parts come from Europe.

**Rise in the parts' cost a month, in £?**

| | |
|---|---|
| Parts each month, in euros | **€12,000** |
| £1 buys, before | **1.20** |
| £1 buys, now | **1.00** |

**ANSWER**

**£2,000**

€12,000 ÷ 1.00 − €12,000 ÷ 1.20 = £2,000

**Why:** A weaker pound buys fewer euros, so imports cost more in pounds.

## 5 Euro or UK supplier

Round 3

£1 buys €1.10. For the same order, a UK supplier asks £10,000; a German one asks €11,550.

**Which supplier should you use, and why?**

**A** The UK supplier

**B** The German supplier

**ANSWER**

✔ **The UK supplier**

**Why:** €11,550 ÷ 1.10 = £10,500, so the UK order is £500 cheaper.

## 6 Staff real income

Round 3

Prices in the shops rise 8% this year. Your staff get a 3% pay rise.

**What happens to their real income?**

**A** It rises by about 11%

**B** It rises by about 3%

**C** It falls by about 5%

**D** It stays the same

**ANSWER**

✔ **It falls by about 5%**

**Why:** Pay rises more slowly than prices, so it buys about 5% less.

# Final questions

Each pupil answers 6 final questions on external influences. They come from these 12 questions.

Then each pupil writes one short answer: “Explain how a new law could change your costs.”

1. A dealer wants out-of-hours customer booking and demand data by time slot. Which online-booking outcome meets both aims?
   ✔ **Easy customer booking, plus time-slot demand data for managers**

2. How is a rise in interest rates most likely to affect a dealership with a variable-rate loan?
   ✔ **Interest payments may rise, raising costs**

3. Unemployment rises sharply in the local area. What is one likely effect on a dealership selling mainly to local households?
   ✔ **Demand may fall as households have less income**

4. Why must a motor retailer consider employment law when recruiting staff?
   ✔ **It must treat applicants fairly and lawfully**

5. Consumer confidence rises and more households feel secure about major purchases. What may happen to demand for cars?
   ✔ **Demand is likely to rise**

6. Local unemployment rises: more technicians apply, but demand for premium servicing weakens. Which response is most balanced?
   ✔ **Recruit needed skills and update forecasts for weaker demand**

7. A recession reduces household spending on premium cars. Which response is most appropriate?
   ✔ **Review stock and offer better value**

8. A new safety rule applies to workshop equipment. What should the business do?
   ✔ **Check compliance, update equipment, train staff**

9. The pound weakens, so an imported component costs more in sterling. What is the likely effect on a UK workshop?
   ✔ **Its input cost may rise, cutting margin**

10. A new vehicle technology makes old diagnostic equipment less useful. What business risk does this create?
    ✔ **Its equipment may become obsolete**

# Final questions

**11** Why should the CEO monitor economic, technological and legal changes?

✔ **They can change demand and costs**

**12** In a recession the economy shrinks, unemployment rises and people spend less. A dealer sells new cars and repairs. Using this description, what should it expect?

✔ **New car sales fall more than repairs; old cars stay running**